



How North American Rollover & Transfer Funds Are Delivered

Why the money usually arrives by check — and why that's normal

When a client moves qualified money (an IRA or 401(k) rollover) or does a 1035 exchange into a North American annuity, the current institution most commonly sends the funds as a physical check — not a wire or ACH.

The check is mailed to North American and clears there before the new contract is funded. A check in the mail does **not** mean anything went wrong; it is the standard way most institutions release transferred funds.

Why it comes by check

Most banks, custodians, and insurance carriers still fund outgoing transfers and 1035 exchanges by paper check. Wire and ACH are available at some institutions but are the exception, not the rule. Check is the lowest-common-denominator method that virtually every institution supports — which is why “it will come by check” is the safe answer to give a client.

The check is payable to the carrier — not the client

This is the part that protects the client's tax treatment:

- On a 1035 exchange or a direct/trustee-to-trustee rollover, the check is made payable to **North American Company FBO [Client Name]** (“FBO” = for the benefit of) and mailed to North American.
- The client should **never** receive a check made payable to them personally for a 1035 exchange or direct rollover. If they do, the IRS can treat it as a taxable surrender or distribution rather than a tax-free transfer.
- So “the money comes by check” is true — but it's a **carrier-payable check**, which keeps the transfer direct and tax-free.

Typical timeline

A check-based transfer generally takes **about 2–6 weeks** end to end (current institution processing + mail time + North American posting the funds).

Source / authoritative form: The industry-standard document for this is the **1035 Exchange / Rollover / Transfer form (ACORD 951)**, which North American and most carriers use. It directs the surrendering institution to send the funds to the receiving carrier on the client's behalf — i.e. the by-check, payable-to-carrier process described above. For North American's own branded copy, pull the current version from the North American agent portal → Forms library.